of those two ideas is unique. Probably the majority of CTAs trade multiple systems, and a substantial percentage of CTAs also use the same systems across different markets. Those two elements are no doubt critical, but they are not by themselves the key. They don't differentiate you from a large segment of CTAs. Whatever your special sauce is would lie in the system concepts you came up with.

I wanted to set up a structure that would allow me to try out a huge number of combinations. When I first started out, I could only try out thousands of combinations, but as computing power dramatically increased over the years, I was eventually able to try out trillions of combinations. But it was critical to do that without overfitting the systems to the data.

I finally found a way. There are books about the predictive modeling process that specifically caution against "burning the data"—that is, you have to greatly limit the number of combinations you ever try. And I found that advice markedly stupid because I knew I could find a way to try any number of combinations and not overfit the data. You get new out-of-sample data every day. If you are rigorous about acknowledging what that new data is telling you, you can really get somewhere. It may take a while. If you are trading the system, and it is not performing in line with expectations over some reasonable time frame, look for overfit and hindsight errors. If you are expecting a Sharpe ratio above 1, and you are getting a Sharpe ratio under 0.3, it means that you have made one or more important hindsight errors, or badly misjudged trading costs. I was using the data up to a year before the current date as the training data set, the final year data as the validation data set, and the ongoing real-time data as the test. Effectively, the track record became the test data set.

I understand why you would look for a method that was not trend following, given your aversion to following the herd, but why would you inherently avoid a mean reversion approach?

For the same reason I didn't pursue trend following—namely, other people were doing the same type of thing. Mean reversion may have been a better fit for me than trend following, but I wanted my own style. I wanted an approach that fit my personality, which is a very important